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Rupee Tantrums

The Challenge of Exchange Rate Management

Remember I began this book with the old Chinese saying: ‘May you live in interesting times’. In the five years I was at the Reserve Bank, I had more than my share of ‘interesting times’, managing the once-in-a-generation global crisis in 2008–09 and combating a decade-high inflation in 2010–11 which segued into a battle against the slide of the rupee starting mid-2012 up until the close of my tenure in September 2013. Many people ask me about my most difficult challenge in the Reserve Bank, almost invariably expecting me to reply that managing the impact of the global financial crisis in 2008–09 as a greenhorn governor was my most testing time. There is surprise, therefore, when I say that battling the sharp depreciation of the rupee in 2013 was by far my toughest challenge.

Most Formidable Challenge

Why was the rupee problem my most formidable challenge? For several reasons. First and foremost, exchange rate battles are typically of the ‘here and now’ variety. In deciding on monetary policy to rein in inflation, for example, there is time—time to deliberate, time to analyse, consult, weigh the alternatives, time even to agonize. I felt the same way while managing the global financial crisis. Notwithstanding all the anxiety and uncertainty of that time, there was enough time to reflect and deliberate before deciding on any action. In responding to sharp exchange rate movements, however, there is no such luxury of time; you are oftentimes forced to decide and act ‘on the go’, as it were.